

HF Group Plc
UNAUDITED GROUP RESULTS FOR THE PERIOD
ENDED 30TH JUNE 2018
Statement of Financial Position as at 30 June
2018

	UnAudited	Audited	UnAudited
	30.06.2018	31.12.2017	30.06.2017
	Shs '000	Shs '000	Shs '000
ASSETS	(Ksh'000)	(Ksh'000)	(Ksh'000)
Cash and balances with Central Bank of Kenya	3,367,253	3,270,722	3,112,410
Balances with Banks	694,459	2,301,262	3,613,678
Investments in Government Securities	4,029,249	2,287,296	3,434,773
Loans and advances	47,593,741	49,639,639	52,768,234
Other assets	5,546,980	6,364,811	5,169,024
Property and equipment	2,187,278	1,517,380	1,372,061
Prepaid operating lease	42,023	44,108	44,249
Other Intangible assets	1,006,455	1,072,387	1,179,542
Current tax recoverable	217,127	204,012	186,853
Deferred income tax asset	825,663	839,499	742,028
TOTAL ASSETS	65,510,228	67,541,116	71,622,852
LIABILITIES			
Deposits and current accounts	36,594,462	36,744,273	37,439,549
Other liabilities	2,140,213	3,308,630	1,259,779
Borrowings	15,638,584	16,038,675	21,619,292
Current Income tax payable	3	3	3
Deferred tax liability	-	-	43
TOTAL LIABILITIES	54,373,262	56,091,581	60,318,666
EQUITY			
Ordinary share capital	1,923,071	1,747,683	1,747,333
Ordinary share premium	4,343,512	4,342,912	4,342,562
Revenue and other reserves	4,819,633	5,185,831	5,163,541
Proposed Dividend	-	122,359	-
Capital grants	50,750	50,750	50,750
TOTAL EQUITY	11,136,966	11,449,535	11,304,186
TOTAL LIABILITIES AND EQUITY	65,510,228	67,541,116	71,622,852

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Summary Consolidated Statement of Profit or Loss for the period ended 30 June 2018

	UnAudited	Audited	UnAudited
	30.06.2018	31.12.2017	30.06.2017
	Shs '000	Shs '000	Shs '000
Net interest income	1,343,150	2,976,368	1,559,214
Non-interest revenue	586,816	1,346,426	424,482
Total income	1,929,966	4,322,794	1,983,696
Credit impairment charges	(228,135)	(576,203)	(380,866)
Income after impairment charges	1,701,831	3,746,591	1,602,830
Total operating expenses	(1,689,206)	(3,412,196)	(1,371,679)
Profit before taxation	12,625	334,395	231,151
Exceptional items	19	(22,771)	-
Profit after exceptional item	12,644	311,624	231,151
Income tax expense	(5,816)	(185,408)	(72,139)
Profit for the period	6,828	126,216	159,012

Summary Consolidated Statement of Other Comprehensive Income for the period ended 30 June 2018

	UnAudited	Audited	UnAudited
	30.06.2018	31.12.2017	30.06.2017
	Shs '000	Shs '000	Shs '000
Profit for the period	6,828	126,216	159,012
Other Comprehensive Income			
Foreign currency translation differences for foreign operations	-	-	-
Fair value changes on available for sale financial assets	46,121	228,552	32,462
Deferred income tax on fair valuation of available for sale financial assets	(13,836)	(21,308)	(9,739)
Other Comprehensive Income net of tax	32,285	207,244	22,723
Total comprehensive income	39,113	333,460	181,736
Total profit attributable to:			
Equity holders of the parent	6,828	126,216	159,012
Total comprehensive income attributable to:			
Equity holders of the parent	39,113	333,460	181,736
Earnings per share basic and diluted (in Shs):	0.04	0.36	0.91
Dividend per share (in Shs):	-	0.35	-

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Summary Consolidated Statement of Changes in Equity as at 30 June 2018

	Share capital	Share premium	Revenue and other reserves	Dividend reserve	Total equity
	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000
At 1 January 2018	1,747,683	4,342,912	5,185,831	122,359	11,398,785
Profit for the period	-	-	6,828	-	6,828
Other comprehensive income	-	-	32,285	-	32,285
IFRS 9 Adjustment	-	-	(230,520)	-	(230,520)
2017 final dividend paid	-	-	(3)	(122,359)	(122,362)
Bonus Share issue	174,788	-	(174,788)	-	-
Esop Share issue	600	600	-	-	1,200
At 30 June 2018	1,923,071	4,343,512	4,819,633	-	11,086,216

Summary Consolidated Statement of Cashflow as at 30 June 2018

	UnAudited	Audited	UnAudited
	30.06.2018	31.12.2017	30.06.2017
	Shs '000	Shs '000	Shs '000
Net cash used in operating activities	(581,299)	1,519,894	(1,904,431)
Cash flows from investing activities	(781,251)	(536,976)	(45,691)
Cash flows from financing activities	(123,653)	(184,884)	(164,126)
Net increase/(decrease) in cash and cash equivalents	(1,486,203)	798,034	1,694,613
Cash and cash equivalents at 1 January	3,662,849	2,864,815	5,031,475
Cash and cash equivalents at period end	2,176,646	3,662,849	6,726,089

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Commentary

HF Group posted Half year period pre-tax profit of Kes 12.6 million for the period ending June 30, 2018, compared to the Kes 231 million the group recorded in 2017.

Net interest income declined by 13.9% from Kes 1.6 billion in a similar period in 2017 to Kes 1.3 billion. This is attributable to the interest rate revision that took effect in April 2018.

Total operating expenses increased by 9.4% to Kes 1.92 billion up from Kes 1.75 billion on the back of continued provisions for the non-performing loans, ICT and Marketing expenses aimed at bolstering the digital banking strategy.

Customer deposits declined by 3% to Kes 36.6 billion down from Kes 37.4 billion recorded in 2017. Loans and advances to customers also decreased by 9.8% from Kes 52.77 billion in 2017 to Kes 47.59 billion in 2018. The decline in loans is attributable to strategic de-risking following the interest rate capping during the period under review that has made risk pricing of long-term loans impractical.

Market conditions have largely not changed and have greatly impacted the performances of various units within the group including the banking subsidiary HFC and property development subsidiary HFDI.

Based on the market outlook, the Group has reviewed its business strategy and shifted its focus to growth through leveraging digital channels, an initiative which is poised to attract return on investment in the next 18 - 24 months.

Earlier this month, the group embarked on organisational restructuring program in line with its recently launched digital banking strategy. The process revolved around the merger, redundancy and creation of new roles in a move that is poised to improve the financial services group's responsiveness and operational efficiencies.

Dividends

The directors do not recommend payment of an interim dividend.

Explanatory notes

The accounting policies used in the preparation of these financial statements are consistent with those used for the Group's December, 2017 annual financial statements. The above financial statements are extracts from the records of the Group.

They were approved for issue by the Board of Directors on 29 August, 2018.

Frank Ireri
Group Managing Director

Steve Mainda
Group Chairman



HFC LTD
UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

I	STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2018	Bank				Group Consolidated		
		30.06.2017	31.12.2017	31.03.2018	30.06.2018	30.06.2017	31.12.2017	30.06.2018
		UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)
A.	ASSETS							
1	Cash balances (both local and foreign)	416,359	447,263	355,021	400,525	416,469	447,263	400,525
2	Balances due from Central Bank of Kenya	2,751,798	2,823,459	2,120,639	2,239,721	2,695,941	2,823,459	2,239,721
3	Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-
5	Investment Securities:	-	-	-	-	-	-	-
	a) Held to Maturity:	2,276,024	746,179	1,316,673	1,417,444	2,276,024	746,179	1,417,444
	a. Kenya Government securities	2,276,024	746,179	1,316,673	1,417,444	2,276,024	746,179	1,417,444
	b. Other securities	-	-	-	-	-	-	-
	b) Available for sale:	1,158,749	1,541,117	1,174,427	2,611,805	1,158,749	1,541,117	2,611,805
	a. Kenya Government securities	1,158,749	1,541,117	1,174,427	2,611,805	1,158,749	1,541,117	2,611,805
	b. Other securities	-	-	-	-	-	-	-
6	Deposits and balances due from local banking institutions	1,611,690	1,530,873	2,767,912	1,227,847	1,667,546	1,530,873	1,227,847
7	Deposits and balances due from banking institutions abroad	1,946,132	770,389	227,934	193,489	1,946,132	770,389	193,489
8	Tax recoverable	123,201	195,394	173,465	147,691	186,853	204,012	217,127
9	Loans and advances to customers (net)	52,768,234	49,639,639	48,782,852	47,593,741	52,768,234	49,639,639	47,593,741
10	Balances due from banking institutions in the group	-	-	-	-	-	-	-
11	Investments in associates	-	-	-	-	-	-	-
12	Investments in subsidiary companies	-	-	-	-	-	-	-
13	Investment in Joint ventures	274,498	254,580	254,580	254,580	1,279,133	1,713,985	1,714,020
14	Investment properties	-	-	-	-	1,659,621	748,549	745,829
15	Property and equipment	1,368,496	1,513,899	1,471,779	1,436,261	1,372,061	1,517,380	1,441,449
16	Prepaid operating lease rentals	38,706	38,475	38,359	38,244	44,249	44,108	42,023
17	Intangible assets	1,179,200	1,071,997	1,045,985	1,006,132	1,179,542	1,072,387	1,006,455
18	Deferred tax asset	750,593	816,436	813,625	802,600	742,028	839,499	825,663
19	Retirement benefit asset	-	-	-	-	-	-	-
20	Other assets	923,803	736,856	868,248	892,832	2,230,270	3,902,277	3,833,089
21	TOTAL ASSETS	67,587,483	62,126,556	61,411,498	60,262,912	71,622,852	67,541,116	65,510,228
B.	LIABILITIES							
22	Balances due to Central Bank of Kenya	-	-	-	-	-	-	-
23	Customer deposits	37,471,675	36,897,543	36,072,048	36,386,264	37,357,722	36,660,591	36,214,806
24	Deposits and balances due to local banking institutions	81,827	83,682	85,164	379,656	81,827	83,682	379,656
25	Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-
26	Other money market deposits	-	-	-	-	-	-	-
27	Borrowed funds	19,740,093	14,589,012	14,396,442	13,190,194	21,619,292	16,038,675	15,638,583
28	Balances due to banking institutions in the group	-	-	-	-	-	-	-
29	Tax payable	-	-	-	-	3	3	3
30	Dividends payable	-	-	-	-	70,512	49,058	46,567
31	Deferred tax liability	-	-	-	-	43	-	-
32	Retirement benefit liability	-	-	-	-	-	-	-
33	Other liabilities	519,590	592,858	1,064,529	608,779	1,189,267	3,259,572	2,093,646
34	TOTAL LIABILITIES	57,813,185	52,163,095	51,618,183	50,564,893	60,318,666	56,091,581	54,373,261
C.	SHAREHOLDERS' FUNDS							
35	Paid up /Assigned capital	5,000,000	5,000,000	5,000,000	5,000,000	1,747,333	1,747,683	1,923,071
36	Share premium/(discount)	3,513,662	3,513,662	3,513,662	3,513,662	4,342,562	4,342,912	4,343,512
37	Revaluation reserves	-	179,580	179,580	179,580	701,463	881,044	881,044
38	Retained earnings/Accumulated losses	662,717	600,656	386,004	253,516	3,943,817	3,712,213	3,264,317
39	Statutory loan loss reserves	564,355	640,800	678,747	690,214	564,355	640,800	690,214
40	Other Reserves	(17,186)	(21,987)	(15,428)	10,297	(46,094)	(48,226)	(15,941)
41	Proposed dividends	-	-	-	-	-	122,359	-
42	Capital grants	50,750	50,750	50,750	50,750	50,750	50,750	50,750
43	TOTAL SHAREHOLDERS' FUNDS	9,774,298	9,963,461	9,793,315	9,698,019	11,304,186	11,449,535	11,136,967
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	67,587,483	62,126,556	61,411,498	60,262,912	71,622,852	67,541,116	65,510,228

HFC LTD
UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

II	STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 JUNE 2018	Bank				Group Consolidated		
		30.06.2017	31.12.2017	31.03.2018	30.06.2018	30.06.2017	31.12.2017	30.06.2018
		UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)
1	INTEREST INCOME							
1.1	Loans and advances	3,449,879	6,713,482	1,548,774	3,023,058	3,449,879	6,713,482	3,023,058
1.2	Government securities	221,488	314,112	50,218	145,674	221,488	314,112	145,674
1.3	Deposits and placements with banking institutions	8,560	105,032	13,760	25,414	8,560	105,032	25,414
1.4	Other Interest Income	-	-	-	-	-	-	-
1.5	Total interest income	3,679,927	7,132,626	1,612,752	3,194,146	3,679,927	7,132,626	3,194,146
2	INTEREST EXPENSES							
2.1	Customer deposits	1,148,828	2,323,445	542,329	1,109,786	1,148,538	2,323,445	1,109,786
2.2	Deposits and placement from banking institutions	43,232	110,940	31,029	63,784	43,232	110,940	63,784
2.3	Other interest expenses	889,597	1,639,967	342,498	678,035	928,943	1,721,873	677,425
2.4	Total interest expenses	2,081,657	4,074,352	915,856	1,851,605	2,120,713	4,156,258	1,850,995
3	NET INTEREST INCOME/(LOSS)	1,598,270	3,058,274	696,896	1,342,541	1,559,214	2,976,368	1,343,150
4	OTHER OPERATING INCOME							
4.1	Fees and commissions on loans and advances	44,940	51,039	6,843	18,008	44,940	51,039	18,008
4.2	Other fees and commissions	48,487	94,503	48,854	47,627	75,800	149,441	111,429
4.3	Foreign exchange trading income/(Loss)	38,186	50,221	17,570	24,418	38,186	50,221	24,418
4.4	Dividend Income	-	-	-	-	-	-	-
4.5	Other income	46,675	88,094	12,115	53,688	265,556	1,095,725	432,961
4.6	Total Non-interest income	178,288	283,857	85,382	143,741	424,482	1,346,426	586,816
5	TOTAL OPERATING INCOME	1,776,558	3,342,131	782,278	1,486,282	1,983,696	4,322,794	1,929,966
6	OPERATING EXPENSES							
6.1	Loan loss provision	380,866	576,203	112,649	228,135	380,866	576,203	228,135
6.2	Staff costs	414,638	853,599	200,560	395,700	528,400	1,088,000	601,385
6.3	Directors' emoluments	5,257	7,309	2,696	4,142	5,829	8,772	5,390
6.4	Rental charges	54,319	110,466	28,466	57,698	54,319	110,466	57,698
6.5	Depreciation charge on property and equipment	79,324	167,589	42,658	85,485	79,644	168,435	85,747
6.6	Amortisation charges	86,592	182,362	46,406	93,565	86,635	182,398	93,608
6.7	Other operating expenses	516,619	1,051,638	271,965	514,531	616,852	1,854,125	845,378
6.8	Total Other Operating Expenses	1,537,615	2,949,166	705,400	1,379,256	1,752,545	3,988,399	1,917,341
7	Profit/(loss) before tax and exceptional items	238,943	392,965	76,879	107,026	231,151	334,395	12,625
8	Exceptional items	-	(19,918)	-	-	-	(22,771)	19
9	Profit/(loss) after exceptional items	238,943	373,047	76,879	107,026	231,151	311,624	12,644
10	Current tax	(71,683)	(278,174)	(23,063)	(49,232)	(72,139)	(296,840)	(5,816)
11	Deferred tax	-	86,376	-	-	-	111,432	-
12	Profit/(loss) after tax and exceptional items	167,260	181,249	53,816	57,794	159,012	126,216	6,828
13	Other Comprehensive Income							
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-
13.2	Fair value changes in available for sale financial assets	32,462	39,520	9,371	46,121	32,462	39,520	46,121
13.3	Revaluation surplus on Property, plant and equipment	-	189,032	-	-	-	189,032	-
13.4	Share of other comprehensive income of associates	-	-	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	(9,739)	(21,308)	(2,811)	(13,836)	(9,739)	(21,308)	(13,836)
14	Other Comprehensive Income for the year net of tax	22,723	207,244	6,560	32,284	22,723	207,244	32,285
15	Total comprehensive income for the year	189,983	388,493	60,376	90,078	181,735	333,460	39,113
	Earnings per share	66.90	36.25	43.05	23.12	0.91	0.36	0.04
	Dividend per share	40.00	40.00	-	25.00	-	0.35	-

HFC LTD
UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

		Bank				Group Consolidated		
		30.06.2017	31.12.2017	31.03.2018	30.06.2018	30.06.2017	31.12.2017	30.06.2018
		UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)
III	DISCLOSURES AS AT 30 JUNE 2018							
1	Non-Performing Loans and Advances							
a)	Gross non-performing loans and advances	7,914,856	8,212,167	8,479,657	8,863,539	7,914,856	8,212,167	8,863,539
b)	Less: Interest in Suspense	1,151,481	1,261,043	1,385,613	1,496,388	1,151,481	1,261,043	1,496,388
c)	Total non-Performing loans and advances (a-b)	6,763,375	6,951,124	7,094,044	7,367,152	6,763,375	6,951,124	7,367,152
d)	Less: Loan loss provisions	1,697,679	1,729,104	1,937,592	1,959,174	1,697,679	1,729,104	1,959,174
e)	Net non-performing loans and advances(c-d)	5,065,696	5,222,020	5,156,452	5,407,977	5,065,696	5,222,020	5,407,977
f)	Discounted value of securities	5,065,696	5,222,020	5,156,452	5,407,977	5,065,696	5,222,020	5,407,977
g)	Net Exposure(e-f)	-	-	-	-	-	-	-
2	Insider loans and advances							
a)	Directors, shareholders and associates	607,354	507,608	476,357	464,484	607,354	507,608	464,484
b)	Employees	1,073,479	1,019,530	964,007	909,115	1,073,479	1,019,530	909,115
c)	Total Insider Loans and Advances	1,680,833	1,527,138	1,440,364	1,373,599	1,680,833	1,527,138	1,373,599
3	Off-Balance Sheet Items							
a)	Letters of credit, guarantees and acceptances	711,489	280,252	160,881	158,821	711,489	280,252	158,821
b)	Forwards, swaps and options	94,868	1,445,300	1,649,300	1,918,070	94,868	1,445,300	1,918,070
c)	Other contingent liabilities	-	-	-	-	-	-	-
c)	Total contingent liabilities	806,357	1,725,552	1,810,181	2,076,891	806,357	1,725,552	2,076,891
4	Capital Strength							
a)	Core capital	8,342,156	8,297,882	8,043,708	7,945,979	9,325,097	8,963,309	8,662,700
b)	Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
c)	Excess/Deficiency	7,342,156	7,297,882	7,043,708	6,945,979	8,325,097	7,963,309	7,662,700
d)	Supplementary capital	882,931	811,402	798,949	757,469	882,931	811,402	757,469
e)	Total capital (a+d)	9,225,087	9,109,284	8,842,655	8,703,447	10,208,028	9,774,711	9,420,169
f)	Total risk weighted assets	57,174,184	53,575,584	52,217,439	50,932,537	58,845,295	56,912,342	55,889,419
g)	Core capital /Total deposit liabilities	22.21%	22.44%	22.25%	21.61%	24.91%	24.39%	23.73%
h)	Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%
i)	Excess/Deficiency	14.21%	14.44%	14.25%	13.61%	16.91%	16.39%	15.73%
j)	Core capital /Total risk weighted assets	14.59%	15.49%	15.40%	15.60%	15.85%	15.75%	15.64%
k)	Minimum Statutory Ratio	10.50%	10.50%	10.50%	10.50%	10.50%	10.50%	10.50%
l)	Excess/Deficiency (j-k)	4.09%	4.99%	4.90%	5.10%	5.35%	5.25%	5.04%
m)	Total capital /Total risk weighted assets	16.14%	17.00%	16.93%	17.09%	17.35%	17.18%	16.89%
n)	Minimum Statutory Ratio	14.50%	14.50%	14.50%	14.50%	14.50%	14.50%	14.50%
o)	Excess/Deficiency (m-n)	1.64%	2.50%	2.43%	2.59%	2.85%	2.68%	2.39%
p)	Adjusted Core Capital/Total Deposit Liabilities*			22.25%	22.80%			22.80%
q)	Adjusted Core Capital/Total Risk Weighted Assets*			15.40%	16.50%			16.50%
r)	Adjusted Total Capital/Total Risk Weighted Assets*			16.93%	18.00%			18.00%
5	Liquidity							
a)	Liquidity Ratio	26.40%	20.70%	21.40%	20.88%	26.40%	20.70%	20.88%
b)	Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%
c)	Excess(Deficiency) (a-b)	6.40%	0.70%	1.40%	0.88%	6.40%	0.70%	0.88%

***Notes**

The adjusted Capital Ratios includes the expected credit loss provisions added back to Capital in line with CBK Guidance Note issued in April 2018 on implementation of IFRS 9.

These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.hfgroup.co.ke

They may also be accessed at the institutions head office located at Rehani House, Kenyatta Avenue/Koinange Street, Nairobi

Sam Waweru
HFC Managing Director

Frank Ireri
Group Managing Director

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Group Chairman